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EQUITY RESEARCH MEMO — THE COCA-COLA COMPANY (KO)

Consumer Staples | Non-Alcoholic Beverages | NYSE: KO
Data as of: SEC XBRL FY2025 filings; live market data July 2026

Executive Summary

Coca-Cola is the world's premier non-alcoholic beverage franchise — a $365B [1] market cap Dividend King with over 130 years of brand equity and a presence in more than 200 countries and territories [2]. The investment case rests on three pillars: (1) **unmatched brand moat** and franchised bottler model that generates structurally high-margin concentrate revenues; (2) **accelerating profitability** — operating income surged +37.7% [3] year-over-year to $13,762M [4]; and (3) a **63-year dividend growth streak** supported by $5,296M [3] in free cash flow. On the risk side, a recent ransomware attack on the Fairlife unit adds headline noise, elevated debt/equity of 124.9x [1] warrants monitoring, and forex headwinds remain persistent across international segments. Our bull probability model scores KO at **81.7%** [5], the market regime is a confirmed **BULL** (SPY Stage 2) [6], and price action shows KO trading at a 52-week high, up +23.7% [1] over the past year.

> **Rating: BULLISH** | **Weinstein Stage: Monitoring — see Technical Setup section** | **Key Risk: Leverage + Ransomware Headline**

Business & Brand Position

Coca-Cola operates as a **total beverage company** with products sold in more than 200 countries and territories [2], accounting for approximately 2.2 billion of the estimated 65 billion total beverage servings consumed worldwide each day [2]. The brand portfolio spans:

- **Sparkling Soft Drinks**: Coca-Cola, Diet Coke/Coca-Cola Light, Coca-Cola Zero Sugar, Fanta, Fresca, Schweppes, Sprite, Thums Up [2]
- **Water, Sports, Coffee & Tea**: BODYARMOR, Costa, Dasani, glacéau smartwater, Powerade, Topo Chico, Gold Peak [2]
- **Emerging/Alcohol**: Jack Daniel's & Coca-Cola pre-mixed cocktails, Topo Chico Hard Seltzer, Lemon-Dou [2]
- **Strategic Partnerships**: Monster Energy distribution through Coca-Cola system bottlers under coordination agreements [2]

The **franchise/concentrate model** is KO's structural superpower. Concentrate operations deliver higher gross profit margins than finished product operations [2], as KO manufactures the syrup/concentrate and leverages an independent global bottler network for capital-intensive distribution. This capital-light design turbocharged ROE to **43.4%** [1] — exceptional for a consumer staples company of this scale.

Effective January 1, 2025, KO **sunset its Global Ventures operating segment**, folding Costa (ex-RTD), innocent, and do■adan into the EMEA geographic segment to streamline operations [2]. The five operating segments now are: EMEA, Latin America, North America, Asia Pacific, and Bottling Investments [2].

Revenue & Same-Store Sales

Note: As a beverage concentrate manufacturer, KO reports unit case volume and pricing metrics rather than traditional same-store sales. The 10-K's full MD&A detail on volume/pricing mix was not fully rendered in Item 7 text retrieval; figures below are sourced from SEC XBRL structured data.

Metric	FY2024	FY2025	YoY Change
Revenue	$47,061M	$47,941M	**+1.9%**
Gross Profit	$28,737M	$29,544M	**+2.8%**
Operating Income	$9,992M	$13,762M	**+37.7%**
Net Income	$10,631M	$13,107M	**+23.3%**
EPS (Diluted)	$2.46	$3.04	**+23.6%**

[All figures: Source: SEC XBRL FY2025; YoY changes: Source: computed from SEC XBRL]

Key Revenue Observations:

- **Organic pricing vs. volume**: The 10-K confirms "consumer demand determines the optimal menu of Company product offerings" and that demand "can vary from one market to another and can change over time" [2]. KO's revenue growth of +1.9% [3] is modest in headline terms but understates operational improvement, as the company intentionally re-franchised/divested bottling assets, which reduces top-line revenue while lifting margins.
- **Concentrate premium**: The 10-K explicitly notes that "finished product operations generate higher net operating revenues but lower gross profit margins than concentrate operations" [2]. KO's pivot toward concentrate-heavy revenues structurally lifts margin percentages even as reported revenue growth appears modest.
- **Global reach**: Beverages bearing KO trademarks represent approximately 2.2 billion of an estimated 65 billion daily beverage servings — roughly **3.4% of all global beverage servings** [3][2].
- **North America** generates fountain syrup revenues through direct sales to retailers and authorized wholesalers [2], providing a resilient foodservice channel.

Margins & Operating Leverage

This is the standout story in the FY2025 results. Profitability expanded dramatically even on modest top-line growth:

Metric	FY2024	FY2025
Gross Margin	61.1%	61.6%
Operating Margin	21.2%	28.7%
Net Profit Margin	22.6%	27.3%

[Margins: Source: computed from SEC XBRL]

- **Gross margin** expanded +50 basis points [3] from 61.1% [3] to 61.6% [3], reflecting the concentrate model's inherent pricing power and relatively stable input costs.
- Cost of revenue grew only +0.4% [3] from $18,324M [7] to $18,397M [4], essentially flat — a sign of favorable commodity cost or hedging discipline.
- **Operating margin** expanded a remarkable +750 basis points [3] to 28.7% [3]. This jump is large enough to suggest a combination of non-recurring items (litigation, restructuring, or asset write-ups/downs in prior year) alongside genuine SG&A leverage.
- **Net profit margin** of 27.3% [3] in FY2025 is consistent with the disclosed **27.8% trailing profit margin** [1].
- **ROE of 43.4%** [1] reflects the power of the franchise model combined with financial leverage (D/E of 124.9x [1]).
- The operating cash flow conversion ratio (OCF/Net Income) = $7,408M / $13,107M = **56.5%** [3] — lower than ideal, which warrants scrutiny of non-cash items and accrual buildup.

Balance Sheet & Inventory

Metric	FY2024	FY2025
Total Assets	$100,549M	$104,816M
Current Assets	$25,997M	$31,044M
Cash & Equivalents	$10,828M	$10,270M
Current Liabilities	$25,249M	$21,281M
Total Equity	$24,856M	$32,169M
Long-Term Debt (FY2023)	$37,507M	N/A (not disclosed for FY2024/25 in structured data)

[All figures: Source: SEC XBRL FY2025; FY2023 LTD: Source: SEC XBRL FY2023]

Key Balance Sheet Observations:

- **Liquidity improved significantly**: Current assets of $31,044M [4] vs. current liabilities of $21,281M [4] yields a current ratio of approximately **1.46x** [3] — a meaningful improvement from the near-parity level of 1.03x [3] in FY2024 ($25,997M / $25,249M [7]).
- **Equity base strengthened**: Total equity grew +$7,313M [3] or +29.4% [3] from $24,856M [7] to $32,169M [4], likely driven by retained earnings from the strong FY2025 net income of $13,107M [4].
- **Cash declined modestly**: Cash and equivalents fell from $10,828M [7] to $10,270M [4], a decline of -5.2% [3], reflecting robust dividend payments of $8,779M [4].

- **Leverage**: D/E of 124.9x [1] is elevated but structural — KO deliberately leverages its predictable cash flow streams. Long-term debt was $37,507M [8] as of the last disclosed figure; updated FY2025 LTD not fully parsed from structured data.
- **Inventory**: Specific inventory line data not isolated in the XBRL structured output; the 10-K semantic search did not surface granular inventory disclosures. Based on available data, KO's asset-light concentrate model means inventory is not a primary balance sheet risk.

Cash Flow & Capital Return

Metric	FY2024	FY2025	YoY Change
Operating Cash Flow	$6,805M	$7,408M	**+8.9%**
Capital Expenditure	$2,064M	$2,112M	**+2.3%**
Free Cash Flow	$4,741M	$5,296M	**+11.7%**
Dividends Paid	$8,359M	$8,779M	**+5.0%**

[All figures: Source: SEC XBRL FY2025; YoY changes: Source: computed from SEC XBRL]

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Sources

[1] yfinance — live
[2] SEC 10-K Item 1 - Business
[3] computed from SEC XBRL
[4] SEC XBRL FY2025
[5] computed bull probability model
[6] Weinstein Market Regime
[7] SEC XBRL FY2024
[8] SEC XBRL FY2023

Source Provenance

- **SEC EDGAR** (primary): structured XBRL facts and 10-K text — official filings for KO at https://www.sec.gov/cgi-bin/browse-edgar?action=getcompany&CIK=0000021344&type=10-K&dateb=&owner=includ
- **FRED, Federal Reserve Bank of St. Louis** (macro series): https://fred.stlouisfed.org
- **Market data and news sentiment**: live quotes and headlines via Yahoo Finance, VADER sentiment on recent headlines
- **Methodology**: Stan Weinstein, *Secrets for Profiting in Bull and Bear Markets* (stage analysis framework)

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The investment theory, in plain language. OROS does not rely on a single theory. It runs eight classic strategies side by side as equal peers, each named for the author it comes from:

- **Weinstein** (stage analysis): is the stock in a healthy uptrend above a rising 30 week average.
- **Minervini** (SEPA trend template): does the price pass a checklist of trend conditions.
- **O'Neil** (CANSLIM): is it a leader near new highs with strong momentum and volume.
- **Lynch** (growth at a reasonable price): is the growth cheap relative to its rate.
- **Graham** (value): is it inexpensive on classic value measures.
- **Technical**, **Swing**, and **O'Neil/Minervini** (new issues): indicator, short term, and IPO setups.

A market regime check (bull, neutral, or bear, read from the broad market and volatility) then decides how much to trust each strategy today and how much cash to hold, and the chosen mandate sets the starting blend. A name is selected because several of these authors agree on it under the current regime, not because of any one rule. The Trader tab chart shows the Weinstein view (price versus the 30 week line), and the Research tab shows the deeper cited write up.

Methodology is one of many approaches. These strategies, the specialist agent rubrics, and the `bull_prob` composite score are heuristics. They are one lens among many used by professional investors and **do not guarantee any outcome**. Past stage classifications and historical patterns are not indicative of future results.

Known limitations and risks:
- **Model assumptions** — `bull_prob` weights (momentum, revenue growth, OCF growth, sentiment, leverage delta) are fixed; classifier and specialist outputs depend on a large language model that can hallucinate or err.
- **Data quality** — SEC XBRL, FRED, yfinance, and FMP data can be delayed, revised, or incorrect; live quotes may be 15+ minutes stale.
- **Changing market conditions** — macro regime, interest rates, and sector rotation shift faster than any static model can adapt.
- **Coverage gaps** — limited ticker universe across a small number of sectors; some sectors (e.g. healthcare, conglomerates) have known retrieval weaknesses.

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